

Right Turn Ahead

UPA ministers would like to signal a return to reforms as a confidence-building measure in the run-up to polls

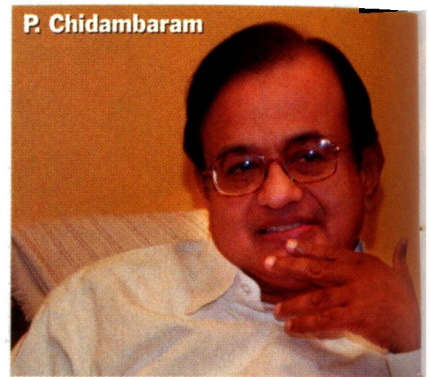
■ By Shankkar Aiyar

It is almost as if they were waiting for the shackles to be broken. Within hours of the passing of the trust vote, Prime Minister Manmohan Singh spoke about the need to focus on controlling inflation and reviving the sagging spirits of the economy. Almost on cue Finance Minister P. Chidambaram declared in Jaipur that reforms were back on track. In Delhi, Civil Aviation Minister Praful Patel called for a meeting of his top officials to prepare a 100-day agenda. In Geneva, on the sidelines of the WTO, Commerce Minister Kamal Nath discussed the possibility of FDI in retail with his fellow ministers even as he pushed ahead for a deal for India.

Thanks to the new arithmetic of politics, critical reforms frozen by the presence of the Left Front, are now on the wish-list of UPA. FICCI President and

Rajya Sabha MP Rajeev Chandrasekhar calls it "an opportunity to rejuvenate the India story and an antidote to the signals of slowdown". But this is both an opportunity and a challenge as major reforms initiatives require legislation. Having just cleared the trust vote the UPA managers would like to, not be trapped in a legislative process. Chidambaram, though, is confident. "We will make all out efforts to take the economic reforms process forward by passing a number of bills pending in Parliament for the development of the nation." India Inc is hopeful and all keyed up. Ravi Trivedy, executive director, advisory services, KPMG, believes there is "a sense of enthusiasm and exuberance over the possibility of key financial reforms moving at last" even as he wonders whether the political system would allow it.

SIPRA DAS



Till a few weeks back, BJP would have gladly helped UPA push these critical reforms as it is in complete agreement. But after Tuesday's hostilities, its support cannot be a given unless corporates work the wires as indeed had happened in 1999 when the insurance sector was opened up and the new telecom policy was cobbled just before elections.

The WISH-LIST Some of the initiatives the UPA would like to push through...

The Banking Regulation (Amendment) Bill, 2005

Aim: To withdraw the cap of 10 per cent on voting rights for investors and allow them to vote as per their shareholding. This will make the system more just and promote investment.

Reality Check: Parliamentary approval will need floor management, but BJP could block it



Foreign Education Providers Bill

Aim: To create a framework to allow foreign universities to tie up and invest in setting up campuses in India. This would create capacity in university education, improve research capabilities, create jobs and save on foreign exchange spent by Indians going abroad to study.

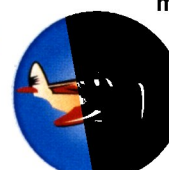
Reality Check: The Congress would have to rein in some of its own ministers for it to be passed



Civil Aviation Policy

Aim: The policy has mooted for foreign equity participation in domestic airlines, removal of the five-year cap, participation of airlines in small airports and creation of regional airline hubs and cargo terminals to help exports.

Reality Check: Could face opposition from UPA allies like RJD, on certain points



The Pension Fund Regulatory and Development Authority Bill, 2005

Aim: To have a comprehensive framework for private players to offer pension plans to create old-age income security. This will enable the private sector and individuals to avail pension plans.

Reality Check: Should go through if the UPA managers work with the Opposition



FDI in Multi-Brand Retail

Aim: To allow foreign investors to participate in organised retail. This will enable creation of farm-to-fork supply chain that will cut out middlemen. It is also promoted as an engine for job creation. Only single brand foreign entities can set up shop as of now.

Reality Check: There could be some opposition from UPA allies



Special Economic Zones

Aim: To promote investment, employment, exports and growth through creation of enclaves with special tax benefits. Thanks to the Left, many of the policy issues of the SEZ regime are caught in administrative issues.

Reality Check: Labour laws won't be touched but other issues may be resolved



ILLUSTRATIONS BY PRASHANT CHOUDHARY